

Unit-II

Organising

Unit-II

Organising

3.1. Building blocks of organisational design and organisational structure.

Organising is an ongoing managerial process. Strategies can change, organisational environments can change and the *effectiveness and efficiency* of organisational activity does not always measure up to what managers would like. Whether forming a new organisation, tinkering with ongoing organisation or radically altering the pattern of relationships at an organisation, managers consider four fundamental steps when they begin to make decisions about organising.

- I. Divide the total workload into tasks that can logically and comfortably be performed by individuals or groups. This is referred to as the *division of work*.
- II. Combine tasks in a logical and efficient manner. The grouping of employees and tasks is generally referred to as *departmentalization*.
- III. Specify who reports to whom in the organisation. This linking of departments results in an organisational *hierarchy*.
- IV. Set up mechanisms for **coordination**. This integration of individual, group and department efforts makes it easier to achieve goals.

3.1.1. Division of work – The breakdown of a complex task into components so that individuals are responsible for a limited set activities instead of the task as a whole. Sometimes referred to as division of labor.

Adam Smith's *Wealth of Nations* opens with a famous passage on the specialisation of labor in the manufacture of pins. Describing the work in a pin factory, Smith wrote, "One man draws the wire, another straightens it, a third cuts it, a fourth points it, a fifth grinds it at the top for receiving the head. "Ten men working in this fashion made 48,000 pins in one day. But, as Smith put it, "if they had all wrought separately and independently, each might at best have produced only 20 pins a day". He also observed the great advantage of the division of labor was that by breaking the total job down into small, simple, separate operations in which different workers could specialise, total productivity was multiplied geometrically.

'Division of work' increase productivity as no one person is physically or psychologically able to perform all the operations that makeup most complex tasks – even assuming one person could acquire all the specialised skills needed to do so. In contrast, division of work creates simplified tasks that can be learned and completed relatively quickly. Thus it fosters specialisation, as each person becomes expert in a certain job. Because it creates a variety of jobs, people can choose or be assigned to positions that match their talents and interests. Many people believe that the rise of civilisation can be attributed to the development of specialisation, which gave humanity the resources to develop art, science and education.

The division of work indicates the task of a management to achieve job specialization & productivity. It creates simplified tasks that can be learned and completed relatively quickly. In addition, it creates a variety of jobs, letting people to choose or be assigned to, positions that match their talents and interests.

Job specialization also has its disadvantages. If tasks are divided into small, discrete steps and if each worker is responsible for only one step, then it may develop *alienation*, i.e. the absence of a sense of control over one's work.

According to **Theory of socialist economics-Karl Marx**, an argument that division of work causes workers to lose pride in their work. On a more practical level, boredom and absenteeism may rise when specialized tasks become repetitious and personally unsatisfying. Many techniques of *Job enlargement* and *job enrichment* are aimed at overcoming labor alienation.

Job enlargement stems from the thinking of Industrial Engineers. The idea behind it is to break up the monotony of a limited routine and work cycle by increasing job's scope. Work functions from a horizontal slice of an organizational unit are combined, thereby giving each employee more operations to perform.

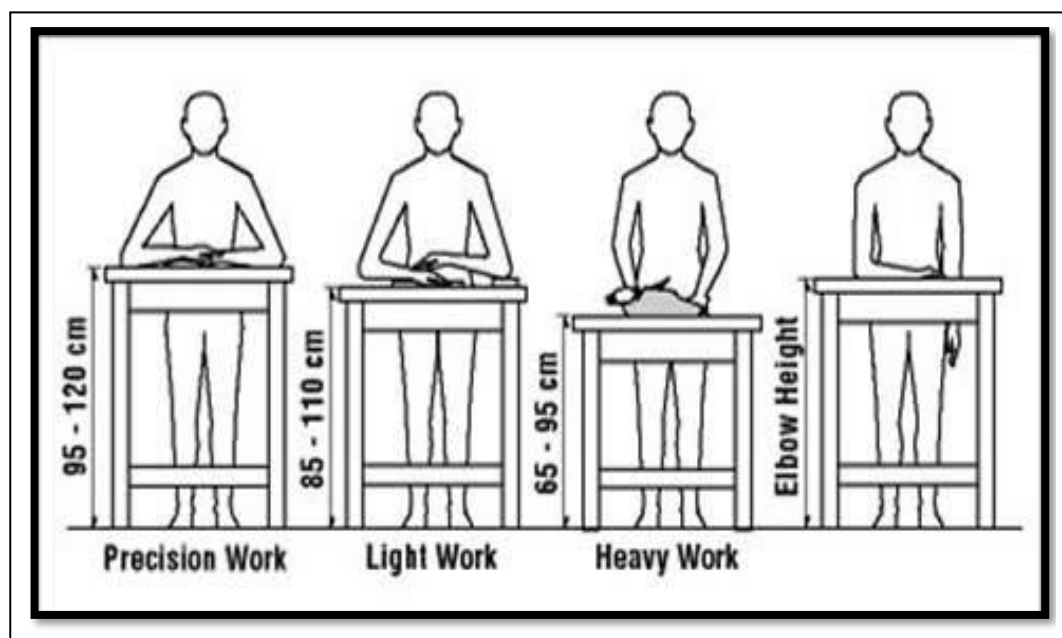
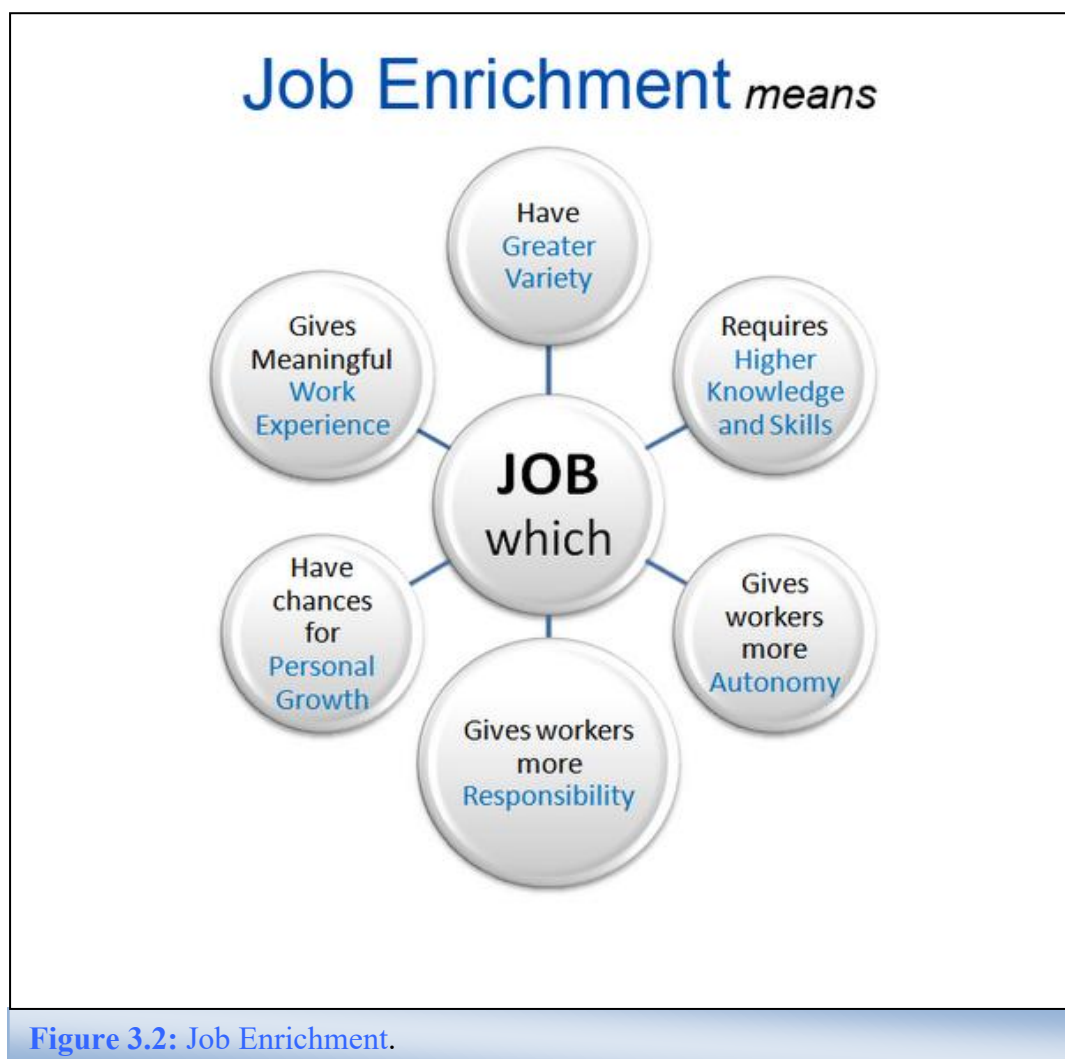
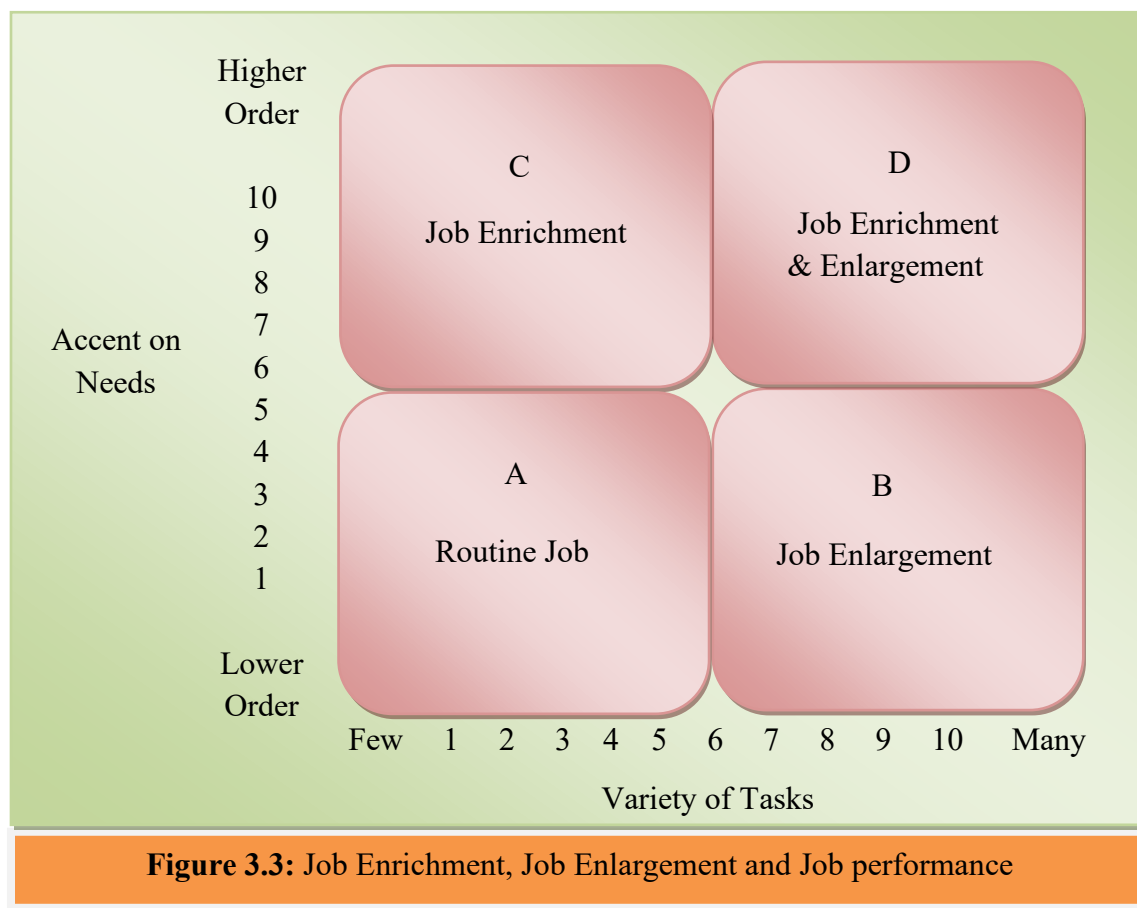


Figure 3.1: Job Enlargement.

Example, the work from two or more positions may be combined to restore some sense of wholeness of the job or workers may be shifted routinely from job to job within the same company so they can develop a variety of skills. A Job rotation of this sort motivates workers by challenging them.

Job enrichment tries to deal with dissatisfied workers by increasing the *depth* of their jobs. Work activities from a vertical slice of the organizational unit are combined into one position so that employees have more autonomy on the job. The idea is to develop a stronger sense of accountability by allowing workers to set their own work pace, correct their own errors and decide the best way to perform various tasks. They may also be asked to make decision that affects their own subunits. As the work becomes more challenging and worker responsibility increases, motivation and enthusiasm should increase as well.





3.1.2. Departmentalization and the span of management-

Departmentalisation is grouping into departments of work activities that are similar and logically connected.

To keep track of the complex web of formal relationships in an organisation, manager typically draws up an *Organisation chart* to depict how work is divided.

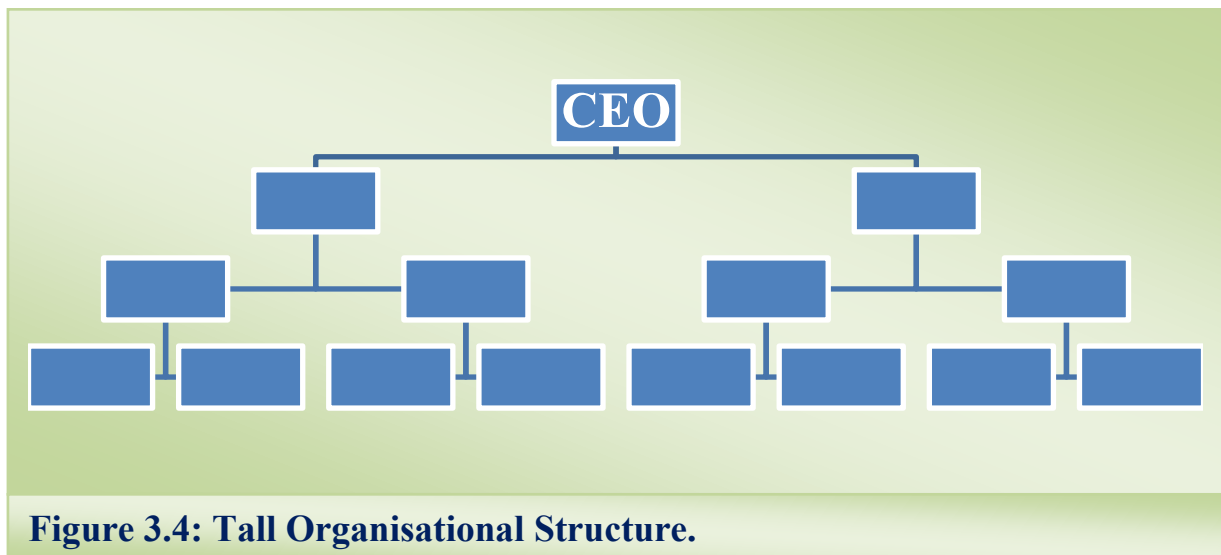
In an organisation chart, the individual boxes represent the logical grouping of work activities that we call *departments*. These boxes are then arranged in levels that represent the management **hierarchy**. The solid lines connecting certain boxes represent the **chain of command** or “*who reports to whom*”.

Example, in a bank, if a group of people work together to make decisions about lending money to small businesses and to administer small business loans, the bank manager might group these people into a small Business Lending Department and the members report to

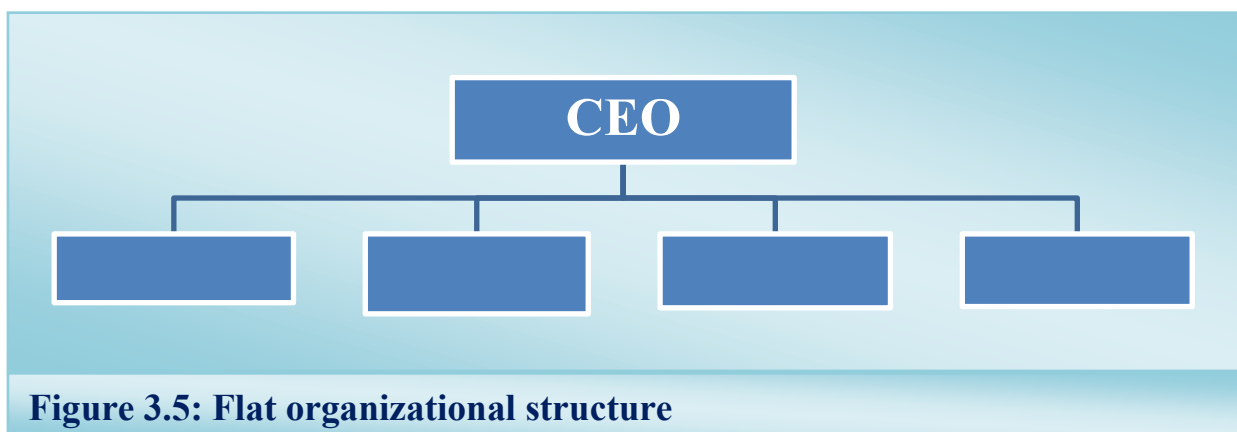
head of that department may be Manager. Similarly the professors are grouped into departments of Industrial Engineering and Management, Computer Science Engineering, Information Science, Bio Technology, reports to Department Head.

Organization Chart:

Tall organizational structure:



Flat Organisation Structure:



By looking at an organisation chart, we can quickly assesses the **Span of management** (also called the **span of control**), which can be defined as the number of subordinates who report directly to a particular manager.

Once work is divided, departments created and span of control chosen, managers can decide on **Chain of Command**—a span that specifies who reports to whom. These reporting lines are prominent features of any organisation chart.

The result of these decisions is a pattern of multiple levels that is called a hierarchy. At the top of the organisational hierarchy is the senior ranking manager (or managers) responsible for the operations of the entire organisation. These managers are commonly referred to as Chief Executive Officer (CEO), President, or Executive Director. Other, lower-ranking managers are located down the various levels of organisation.

The modern approach to span of management began with the industrial revolution. In the nineteenth and first half of the twentieth century, various writers determined the maximum number of subordinates one manager could supervise and many concluded that the universal maximum was six.

Choosing an appropriate span of management is important for two reasons.

- (i) It affects efficiency. Too wide span means that managers are overextended and subordinates are receiving too little guidance or control. When this happens, managers may be pressured to ignore or condone serious errors. In contrast too narrow span means that managers are underutilised.
- (ii) Related to organisational structures – Narrow span of management creates **tall organisational structure** with many levels between the highest and the lowest managers. In these organisations a long chain of command shows decision making, a disadvantage in a rapidly changing environment. Wide-span of management creates **flat organisational structure**, with fewer management levels between top and bottom. One of the most noticeable trends in recent years is toward flat organisational structures. Organisations are moving toward these flat structures to cut the costs associated with levels of middle management and speed decision making.

3.1.3. Coordination- The integration of the activities of the separate parts of an organization to accomplish organizational goals effectively. Without coordination people and departments would lose sight of their roles within the organisation and tempted to pursue their own special interests, often at the expense of organisational goals.

The extent of the need for coordination depends on the nature and communication requirements of the tasks performed and the degree of interdependence of the various units performing them.

When these tasks require or can benefit from communication between units, then a high degree of coordination is best. When information exchange is less important, work may be completed more efficiently with less interaction between units. A high degree of coordination is likely to be beneficial for work that is non-routine and unpredictable, for work in which factors in the environment are changing and for work in which interdependence is

high. In addition, Organisations that set high level performance objectives usually require a higher level of coordination.

Coordination can also occur among people working at different organisations. A case in point is a newly announced consortium whose members will work toward creating 80 mile-per-gallon low pollution automobile. The Clinton administration is spearheading this effort along with representatives from General Motors, Chrysler, and Ford – so called “Big Three” – and the United Autoworkers Union. As ambitious as President John F.Kennedy’s goal in the early 1960s of landing a man on the moon by the end of the decade (it happened in 1969), this consortium require a high degree of coordination.

3.2 Approaches to organisational design

Organisational design is the decision making process by which managers choose an organisational structure appropriate to the strategy for the organisation and the environment in which members of the organisation carry out that strategy. Organisational design thus has managers looking in two directions simultaneously: Inside their organisation and outside their organisation. Initially organisation design process were concentrated on the internal workings of an organisation, later on, the “outside world” part of the organisational design equation has been given more and more management attention.

Before proceeding to study of historical development of organisational design, it is important to keep two things in mind.

- (i) Since both strategies and environment change over time, organisational design an ongoing process.
- (ii) Changes in structure usually involve trial and error.

3.2.1 The Classical Approach

Early management writers were not aware of the environment’s power. Instead, they sought “one best way” – a set of principles for creating an organisational structure that would be efficient and effective in all situations. The sociologist Max Weber and management writers Frederick Tailor and Henri Fayol were major contributors to the classical approach to organisational design. They believed that the most efficient and effective organisations had a hierarchical structure based on a legalised formal authority, Weber called an organisation with such a structure a **Bureaucracy**. Members of the organisation were guided in their actions by a sense of duty to the organisation and by a set of rational rules and regulations. According to Weber, when the organisations are fully developed, such organisations were characterised by specialisation of tasks, appointment by merit, provision of career opportunities for members, routinisation of activities and a rational, impersonal organisational climate.

Early management writers found much to commend in bureaucracy as an organisational design. Weber praised bureaucracy due to following reasons.

- (i) Rationality.
- (ii) Its establishment of rules for decision making,
- (iii) Clear chain of command and its promotion of people on the basis of ability and experience rather than favouritism.
- (iv) Clear specification of authority and responsibility, which he believed made it easier to evaluate and reward performance.

The classical approach came under criticism for,

- (i) Being too theoretical.
- (ii) Bureaucracy is unlikely to yield the results he described.
- (iii) A bloated and costly staff.
- (iv) A formal impersonality that loses sight of larger goals.
- (v) Slow reactions to changing environments and political infighting among individuals and work units.

3.2.2 The neoclassical Approach

Early human relations researchers and behavioural scientists attempted to deal with what they saw as the major inadequacy of the classical bureaucratic model. It neglected the human element. They argued that an industrial organisation has two objectives;

- (i) Economic effectiveness and
- (ii) Employee satisfaction.

We can observe the initial momentum towards this point of view was provided by the Hawthorne Studies, which were thought to imply that when management showed concern for employees, productivity increased. Human relations researchers and behavioural scientists argued that the bureaucratic structure could be improved by making it less formal and by permitting subordinates greater participation in decision making. Because they did not reject the classical model but only tried to improve it, these researchers are sometimes called neo-classicists. Among them are Douglass McGregor, Chris Argyris and Rensis Likert.

(I) Douglas McGregor: Bureaucracies are characterised by a vertical division of labor in which upper levels of management make plans and decisions that are carried out by people at



lower levels. Although this separation has always existed, it was sharpened by the application of scientific management principles.

McGregor believed that *managers who used this vertical division of labor also accepted an underlying set of negative assumptions about workers*. These included the conviction that most people have little ambition, that they desire security; above all they avoid work unless coerced into it. In this view, a rigid, formal organisational

hierarchy is necessary to maintain manager's authority over subordinates.

McGregor claimed that *organisations would better meet their member's needs and use their potential more effectively* by assuming that *People can find satisfaction in work, that they desire achievement and that they seek responsibility*. Such assumptions would permit employees more interdependence, a larger role in decision making and greater openness in communication with their managers and with one another.

(II) Chris Argyris: Argyris was concerned that in a bureaucratic organisation managers had

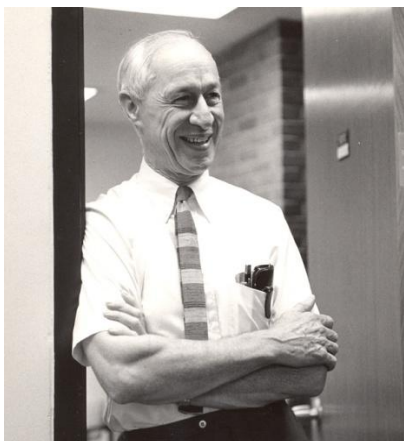


nearly total responsibility for planning, controlling and evaluating the work of their subordinates. He argued that such managerial domination of the workplace can make subordinates passive, dependent, decrease their sense of responsibility and self control. Argyris observed that such conditions were incompatible with the human needs for self reliance, self-expression and accomplishment. He believed that members of the organisation, particularly at lower levels become dissatisfied and frustrated in their work when these needs are blocked. The results he suggested are increased unhappiness among organisation members and more problems in meeting organisation's goals.

Example, dissatisfied workers may change jobs frequently, increasing staffing costs, or do their work carelessly, increasing production costs.

As an alternative, Argyris argued for an organisational design that would better meet human needs and raise the satisfaction of organisation members. Argyris favoured allowing subordinates much more independence and decision making power and creating a more informal organisational culture.

(III) Rensis Likert: in his research on effective group performance, Likert found that traditional authorisation managers were less able to motivate their subordinates to high standards of achievement than managers who actively supported their subordinate's feeling of self worth and importance. Based on these findings, Likert created a model to describe different organisational designs and their effectiveness.



According to Likert's model, organisational structure based on one of four systems.

In **system 1**, the traditional organisational structure, power and authority are distributed according to the manager-subordinate relationship. Managers at one level tell members at lower levels what to do and so on down the chain of command.

System 2 and **3** are intermediate stages, **System 4** organisations represent Likert's view of how an organisation should ideally be designed and managed. In this system, there is extensive group participation in both

supervision and decision making. The system 4 manager's primary task is to build a group that can make decisions and carry them out. To reach system 4, Likert says, organisations must

- (i) Accept that managers and work activities should enhance individual member's personal sense of worth and importance.
- (ii) Use group decision making where appropriate.
- (iii) Set high performance goals.

(IV) Criticism of the neo classical approach:

This approach has been criticised for

- (i) Assuming there is "one best way" to design an organisation, regardless of strategic or environmental considerations.
- (ii) Critics also feel that neo-classicists oversimplify human motivation. Not everyone is motivated by non monetary rewards and not all can be intrinsically challenging and rewarding. Because people come to work with their own objectives.
- (iii) Critics add the neo-classicists underestimate the challenge of coordinating fragmented work groups.

3.2.3 The Environmental Approach

One of the major modern approaches to organisational design holds that understanding the environment is the first important task in organisational design.

The stable Environment: A stable environment is one with little or no unexpected or sudden change. Product changes occur infrequently and modifications can be planned well in advance. Market demand has only minor and predictable fluctuations. Laws that effect the particular organisation or product have remained the same for a long time and are unlikely to change abruptly. New technological developments are improbable, so research budgets are either minimal or nonexistent. Because of the increasing rate of technological change, stable organisational environments are hard to find, still they do exist. Ex-E.E Dickinson, the major distiller of witch hazel, a topical astringent, has been operating in essentially the same way since 1866. The product, the process and the company's way of doing business have remained viable despite the passage of more than a century.

The changing Environment: Though environmental changes can occur in any or all of the areas such as – product, market, law or technology. They are unlikely to take the top managers of the organisation by surprise. Trends are usually apparent and predictable, so that the organisation is easily able to adjust. Ex- a Wall Street law firm like Willkie, Farr & Gallagher is in a changing environment because its lawyers must acquaint themselves with each new law. However, the basic body of law changes very gradually. Other organisations in changing environments include many in the service, constructions, appliance, computer, financial, transportation and energy industries. The rate of change in the environment has accelerated in some industries- such as trucking, air carrying, natural gas, and savings and loans – because of the relatively recent institution of deregulation policies. A once-stable

environment has become a very competitive one, causing the downfall of banks, airlines and other organisations, both product manufacturers and service providers. The advent of greatly international competition has also created a highly competitive, sometimes hostile, environment for many firms.

The Turbulent Environment: when competitors launch new unexpected products, when laws are passed without appreciable warning, and when technological breakthroughs revolutionize product design or production methods, the organisation is in a turbulent environment.

Few organisations face a continued turbulent environment. When a rapid change occur organisations usually pass through only a temporary period of turbulence before making an adjustment. Ex- hospitals had to adjust to a sudden increase in demand for their services when Medicaid legislation was passed. Similarly, new pollution-control laws and energy crisis created turbulent environment some time. Some firms experience almost constant turbulence. Ex- computer companies have been dealing with a rapid rate of technological change for three decades.

The rash of takeovers and leverages buyouts in the 1980's coupled with stock market volatility, added another dimension of turbulence to the environment of many organisations.

International competition and the emergence of new and powerful domestic competitors have also increased environmental turbulence. Even the once stable US automobile industry has experienced turbulence because of competition from Toyota, Nissan and Honda in Japan and Hyundai in Korea. The result: a virtually complete internal redesign at both Ford and Chrysler and a Rethinking of General Motor's overall organisational design.

Matching the structure to the environment:

Tom Burns and *G.M Stalker* have distinguished between two organisational systems: mechanistic and organic.

In a **Mechanistic system**, the activities of the organisation are broken down in to separate, specialised tasks. Objectives and authority for each individual and unit are precisely defined by higher-level managers. Power in such organisation follows the classical bureaucratic chain of command.

In an **organic system**, individuals are more likely to work in a group setting than alone. There is less emphasis on taking orders from a superior or giving orders to subordinates. Instead, members communicate across all levels of organisation to obtain information and advice.

After studying a varieties of companies Burns and Stalker concluded that the mechanistic system was best suited to a stable environment, where as organic systems were

best suited to a turbulent one. Organisations in changing environments would probably use some combination of the two systems.

In a stable environment, each organisation member is likely to continue performing the same task. Thus, skill specialisation is appropriate.

In a turbulent environment, however, jobs must constantly be redefined to cope with the ever-changing needs of the organisation. Organisation members must therefore be skilled at solving a variety of problems, not at repetitively performing a set of specialised activities. In addition, the creative problem solving and decision making required in turbulent environments are best carried out in groups in which members can communicate openly. Thus, for turbulent environments, an organic system is appropriate.

Findings of Burns and Stalker were supported and extended by the research of Paul Lawrence and Jay Lorsch. They examined ten companies, measuring the degree of differentiation and integration these companies exhibited in relation to the type of external environment in which they operated.

Lawrence and Lorsch hypothesized that departments in organisations operating in unstable environments, such as plastics manufacturing companies would be more differentiated than departments in organisations operating in stable environments, such as container manufacturing companies. They further reasoned that not all departments would be affected to the same extent by an unstable environment, so different types of structures might have appropriate for different departments in the same organisation.

Last, they predicted that high-performing organisations in each type of environment would have a greater degree of integration than low performing companies, because effective cooperation and coordination within an organisation would make it more successful.

The results of their study confirmed all three of their hypotheses. Of the companies studied, those operating in an unstable environment were the most highly differentiated and those operating in a stable environment were the least differentiated. In addition, a high-performing organisation in both types of environments has higher degree of integration than did the low-performing organisations. Those successful organisations with a high degree of differentiation used a variety of integrating mechanism such as committees and task forces.

John J Morse and Jay W Lorsch extended this line of research by comparing the effectiveness of departments that matched or failed to match their environments. In their study, four departments of a large company were evaluated. Two of these departments, which manufactured containers, operated in a comparatively stable environment. Two other departments were in the unstable environment associated with communications research. In each pair, one department had been evaluated as highly effective and the other as less effective. Morse and Lorsch found that the more effective manufacturing department was structured in a mechanistic fashion with clearly defined roles and duties, while the more effective research department was structured in an organic fashion, with roles and duties loosely defined. On the other hand, the less effective manufacturing department was

structured in an organic way, while the less effective research department was mechanistically structured. In short, ***the structures of the most effective departments fit their environments while the structures of the less effective departments did not.***

Once the organisation's business environment has been defined, it must be evaluated along two dimensions: simple-complex and static-dynamic.

Simple business environments have relatively few factors; **complex** environments, more of them. **Static** environments change slowly; **dynamic** environments, quickly. Today's environments are mostly **complex and dynamic**.

Let's begin by considering companies whose environment is **simple and static**. In the early 1970s, there were a number of such companies in the motor home/recreational vehicle industry. The market for their products was fairly homogeneous, or uniform. In addition, demand was high and static for a number of years. In most cases, such companies should adopt the **functional form of organisation**.

Yet an environment that is static today may become dynamic tomorrow. Change came to Recreational Vehicle Industry after 1973, when the cost of oil began to soar. Simple but dynamic environments require a different kind of organisation. They need a faster flow of information and greater closeness to markets than the pure functional form allows. A company may find that it makes sense to modify a basically functional form of organisation to allow for lateral relations among employees. Such organisations could create special task forces or committees to deal with specific problems or products.

When a business environment is complex, a new factor must be taken into account: whether the company's activities can be segmented along product, market, or geographical lines. **Hospitals** are typical organisations whose activities are **complex and static** but cannot be segmented by product or market. Here the correct form of organisation will usually be **functional-surgery, medicine, and so forth**.

By contrast, many companies that market health care products are complex and static, but segmentable. Such companies might segment their offerings into divisions responsible for, medical products, dental products, pharmaceuticals and hospital products. Each of these divisions might have its own internal facilities for all functional areas, such as marketing, engineering, and production. However, some companies that market health-care products must function in environments that are complex, segmentable and dynamic. Suppose that the company's pharmaceuticals division has trouble introducing a new line of products. The line is directed at doctors, the province of the company's medical division and likely to be used in hospitals, the province of the hospital division in this case, the company might set up as task force with employees from all these divisions to study the problem.

Some companies whose environments are complex, segmentable and dynamic want the sophistication that a specialised functional department provides. In this case, a matrix organisation, with both product and functional links, it's usually the most appropriate choice.

3.2.4 The Task -Technology Approach:

Clearly, there is an important relationship between an organisation's *technological commitments and the motivation and productivity of its employees* – a relationship sometimes called the organisation's “**task-technology**”. Classical studies conducted in the mid-1960s by John Woodward and her colleagues found that an organisation's task technology affected both its structure and its success. Woodward's team divided about 100 British manufacturing firms into three groups according to their respective task-technologies:

- (i) Unit and small-batch production.
- (ii) Large-batch and mass production.
- (iii) Process production.

Unit production refers to the production of individual items tailored to a customer's specification,

Example, custom made clothes. The technology used in unit production is the least complex because the items are produced largely by individual craftspeople.

Small batch production refers to products made in small quantities in separate stages, such as machine parts that are later assembled.

Large batch and mass production refer to the manufacture of large quantities of products. Some times on an assembly line (such as automobiles).

Process production refers to the production of materials that are sold by weight or volume, such as chemicals or drugs; these materials that are produced with highly complex equipment that operates in a continuous flow.

Woodward found a number of relationships between technological processes and organisational structure. In each category, successful firms had similar structural characteristics, which tended to cluster around the median value at each technological level. Ex- if the median span of management in process firms was five, the successful process firms would have spans near that number.

Woodward's findings fall into three general classes.

- (i) The more the technology – from unit to process production- the greater number of managers and managerial levels. In other words, complex technologies lead to tall organisational structures and require more supervision and coordination.
- (ii) Span of management for first-line managers increases as we move from unit to mass production, but decreases in both unit and process production firms usually do highly skilled work, they tend to form small work groups, making a narrow span inevitable. In contrast, a large number of assembly-line workers, who perform similar tasks, can be supervised by one manager.
- (iii) As the firm's technological complexity increases, its clerical and ministrative staffs become larger because managers need to help with paperwork and non-production related work so they can concentrate on specialised tasks. Also, complex equipment requires more maintenance and scheduling, both of which generate additional paperwork.

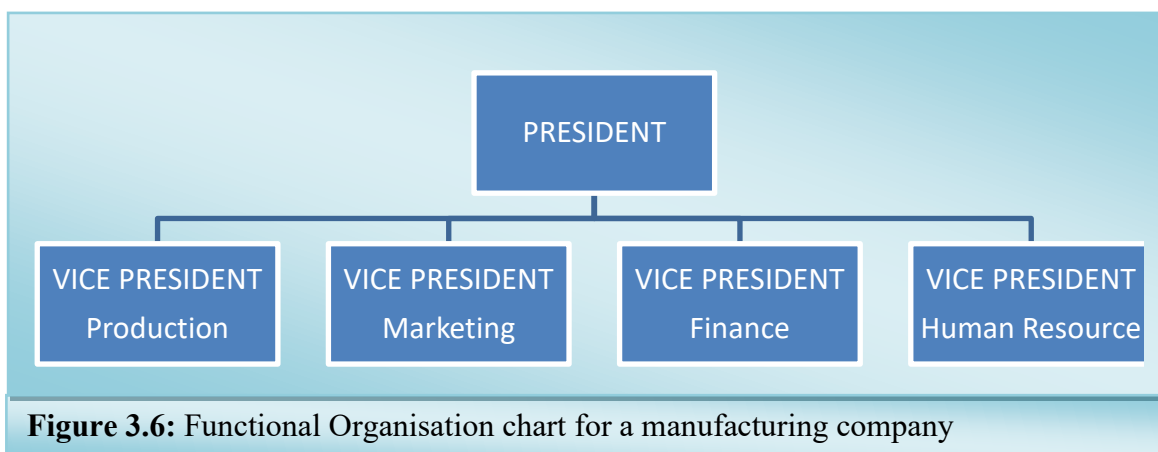
Woodward's research showed that for each type of technology, specific aspects of organisational structure are associated with more successful performance. In other words, the successful firms were those with the appropriate structure for their level of technology. For mass-production firms, the appropriate structure conformed to the classical management principles. In other two types of firms, the appropriate structure did not conform to classical guidelines.

Woodward's studies provided evidence of the influence of technology on organisational structure. Other research has suggested that the impact of technology on structure is strongest in small firms. For large firms, the impact of technology seems to be felt mainly at the lowest levels of the organisation.

3.3 Types of organisational structures

3.3.1 Functional Organisation

A form of departmentalisation in which everyone engaged in one functional activity, such as marketing, finance is grouped into one unit.



It is the most logic and basic form of departmentalisation. It is mainly used by smaller size firms that offer limited line of products because of it makes efficient use of specialised resources. Another major advantage of a functional structure is that it makes supervision easier since each manager must be expert in only a narrow range of skills. In addition a functional structure makes it easier to mobilise specialised skills and bring them to bear where they are most needed.

As an organisation grows, either by expanding geographically or by broadening its product line, some of the disadvantages of the functional structure begin to surface. It becomes more difficult to get quick decisions or action on a problem because functional managers have to report to central headquarters and may have to wait for a long time before a request for help is acted on. In addition, it is often harder to determine accountability and judge performance in a functional structure. If a new product fails, who is to blame – research and development, production or marketing? Finally, coordinating the functions of the entire organisation becomes a problem for top managers. Members of each department may feel isolated from those in other departments. It therefore becomes more difficult for employees to work in a unified way to achieve the organisation's goals.

For example- the manufacturing department may concentrate on meeting cost standards and delivery dates and neglect quality control. As a result, the service department may become flooded with complaints.

Top managers who wish to use a functional structure or add a functional department to an existing structure must weigh potential benefits against expected costs. The economic savings brought about by a functional structure may be out weighted by the additional managerial and staff salaries and other overhead costs that are required. Top managers also have to consider how often they expect to use the special skills of a functional department. In a small firm, it may be more economical to retain outside legal services than to set up an in-house legal department.

3.3.2 Product/Market Organisation

Most large, multi product companies such as General Motors, have a Product or market organisation structure. At some point in an organisation's existence, sheer size and diversity of products make servicing by functional departments too unwieldy when a company's departmentalisation become too complex for the functional structure, top management will generally create semiautonomous **divisions**, each of which designs, produces and markets its own products.

Unlike functional department, a division resembles a separate business. The division head focuses primarily on the operations of his or her division, is accountable for profit or loss, and may even compete with other units of the same firm. But a division is unlike a separate business in one crucial aspect: it is not an independent entity: that is, the division manager cannot make decisions as freely as the owner of a truly separate enterprise because

he or she must still report to central headquarters. As a rule, a division head's authority ends at the point where his or her decisions have a significant effect on the workings of other divisions.

A product/market organisation can follow one of three patterns. Most obvious is *division by product*

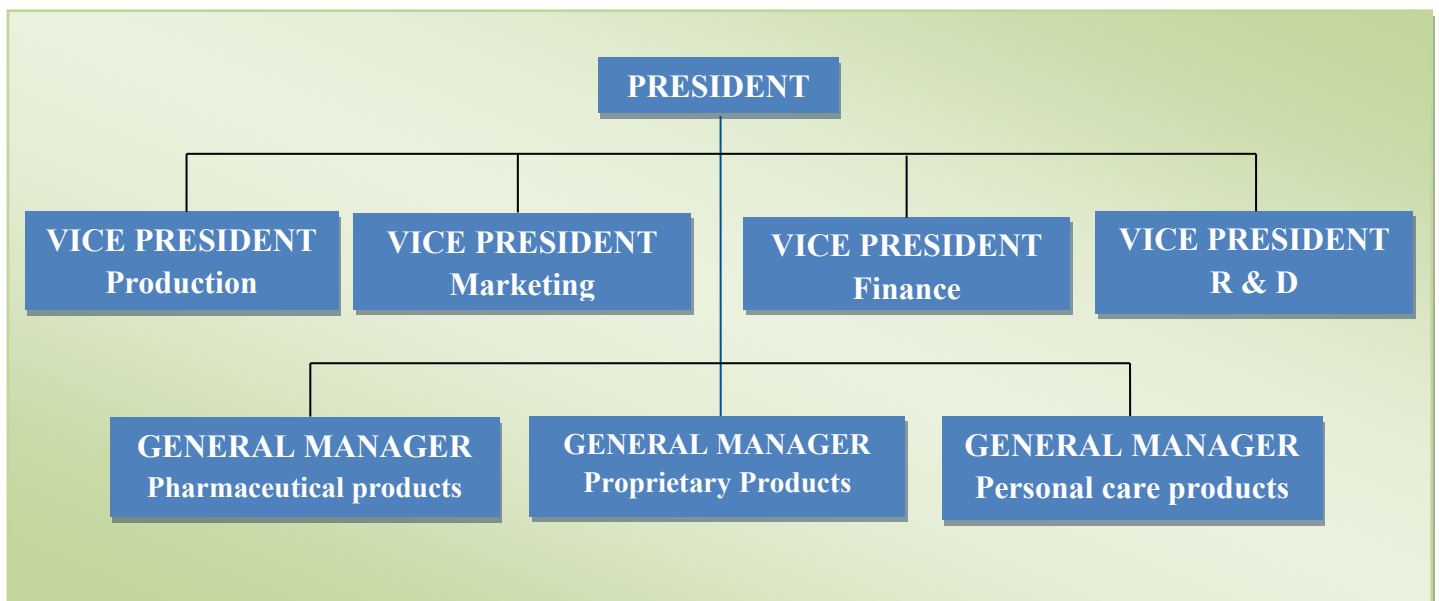


Figure 3.7: Product/Market organisation chart for a manufacturing company: Division by Product.

General Foods, which has a different division for each of its major types of products is a good example, setting up product divisions is logical when each product requires different manufacturing technology and marketing methods.

Service, financial and other non manufacturing firms generally use *division by geography*, although mining and oil producing company also use geographic divisions. This organisation is logical when a plant must be located as close as possible to sources of raw materials, to major markets or to specialised personnel, such as the diamond cutting operations in New York, Tel Aviv and Amsterdam.

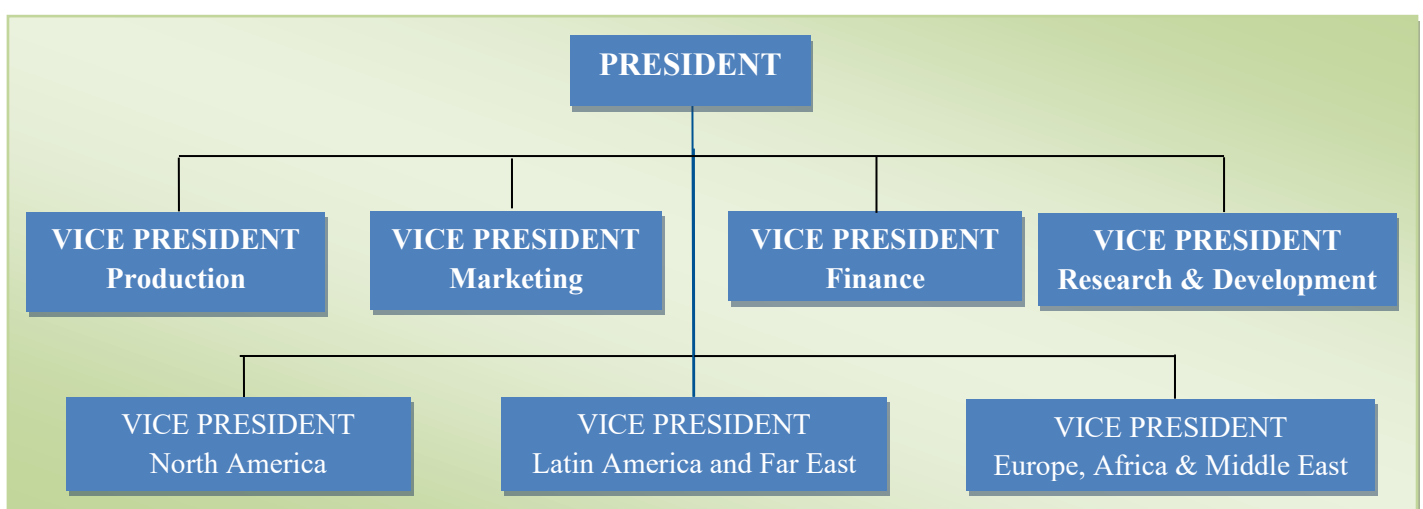


Figure 3.8: Product/Market Organisation chart for a Manufacturing company: Division by Geography

In ***division by customer***, a division sells most or all of its products to a particular customer.

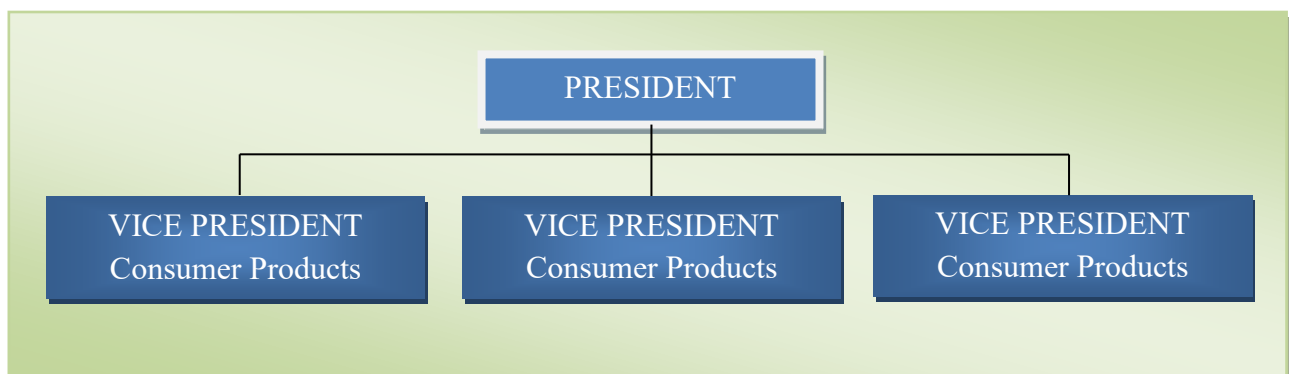
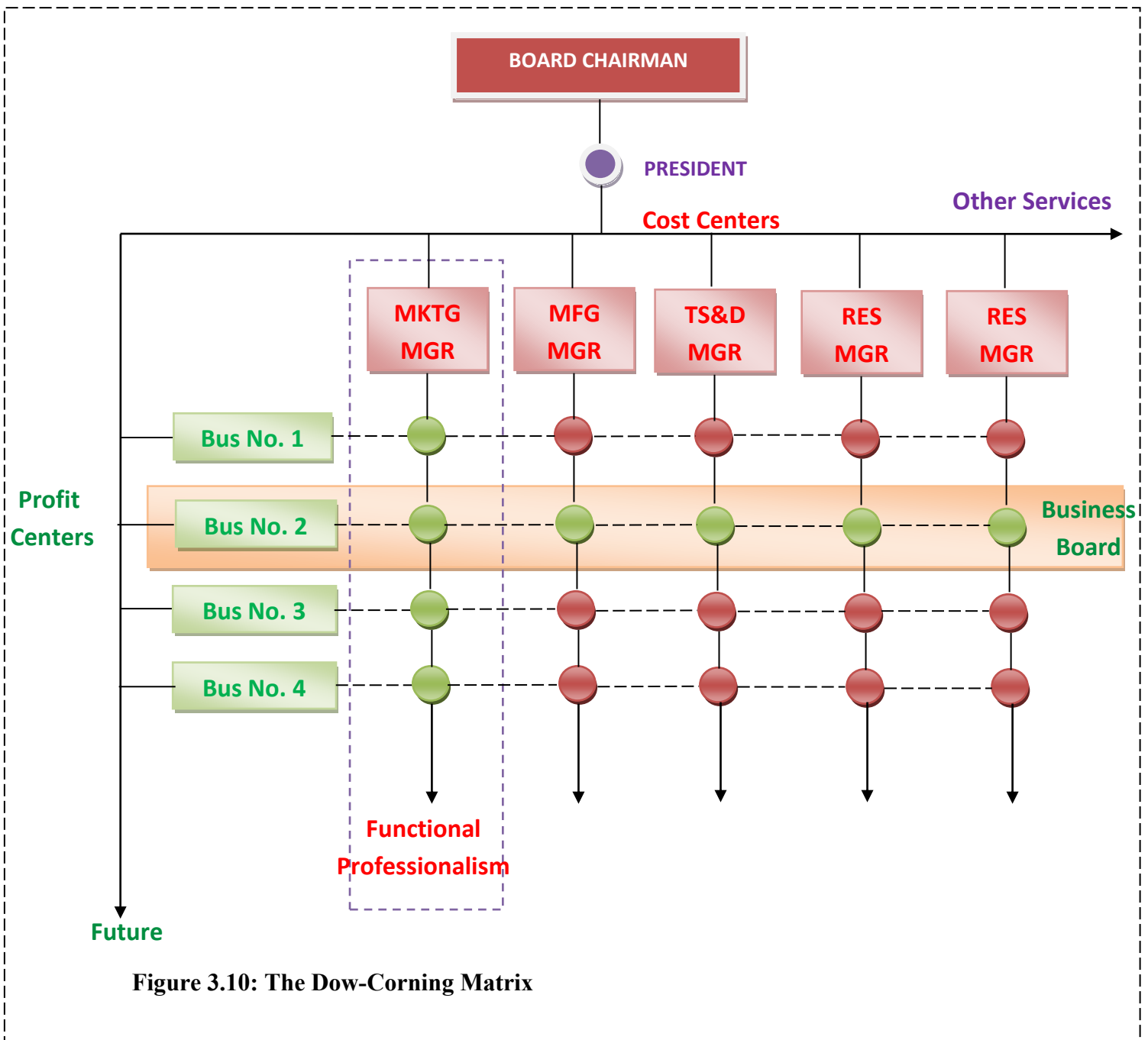


Figure 3.9: Product/Market Organisation chart for a Manufacturing Company: Division by Customer.

Example, an electronics firm might have a separate divisions for military, industrial and consumer customers. As a general rule, manufacturing firms with highly diversified lines of products tend to be organised either by customer or by product. Organisation by division has several advantages. Because all the activities, skills and expertise required to produce and market particular products are grouped in one place under a single head, a whole job can be more easily coordinated and high work performance maintained. In addition, both the quality and speed of decision making are enhanced because decisions made at the divisional level are closer to the scene of action. Conversely, the burden on central management is eased because divisional managers have greater authority. Perhaps most important, accountability is clear. The performance of divisional management can be measured in terms of that division's profit or loss.

There are some disadvantages to the divisional structure. The interests of the division may be placed ahead of the needs and goals of the total organisation. Ex- because they are vulnerable to profit and loss performance reviews, division heads may take short term gains at the expense of long-range profitability. In addition, administrative expenses increase because each division has its own staff members and specialists, leading to costly duplication of skills.

3.3.3 Matrix Organisation:



Neither of two types of structures (Functional and Product/Market organisations) meets all the needs of every organisation. In a functional structure, specialised skills may become increasingly sophisticated – but coordinated production of goods may be difficult to achieve. In a divisional structure, various products may flourish while the overall technological expertise of the organisation remains underdeveloped. This matrix structure attempts to combine the benefits of both types of designs while avoiding their drawbacks.

In a **matrix organisation**, the employees have in effect two bosses – that is, they are under dual authority. One chain of command is functional or divisional, diagrammed vertically in the charts shown above. The second shown horizontally in the figure shown above, this depicts the multidimensional structure of Dow-Corning. This lateral chain depicts a project or a business team, led by a project or group manager who is an expert in the team's assigned area of specialisation. For this reason, matrix structure is often referred to as a "multiple command system." Matrix organisations were first developed in the aerospace industry by firms such as TRW. The initial impetus was a government demand for a single contact manager for each program or project who would be responsible to the government for the project progress and performance. To meet this need, a project leader was appointed to share authority with the leaders of the pre-existing technical or functional departments. This temporary arrangement then evolved into formal matrix organisations. Now matrix organisation is used in the units of many major companies in management consulting firms and in advertising agencies, among many other types of businesses. In some companies, the matrix structure is found at all levels, while in others, it is used in certain departments.

As organisations have become more global, many use the matrix form in their international operations. There may be product or division managers as in a divisionalised firm and national managers for each country in which the company does business. Thus, a division employee would report to the divisional manager on product related issues and to the national manager on political issues or those involving international relations.

Few organisations are able to make a sudden and effective transition from functional or divisional organisation to a fully functioning matrix structure. When considering such a changeover, management must realise that much time and effort are required to make a matrix work.

The matrix structure is often an efficient means for bringing together the diverse specialised skills required to solve a complex problem. Problems of coordination – which plague most functional designs – are minimised here because the most side benefit: by working together, people come to understand the demands faced by those who have different areas of responsibility.

Example- A report from AT&T Bell labs, indicated that systems engineers and systems developers overcome their preconceptions about each other's jobs and acquired more realistic attitudes about each other after working together as a project team. Exposure to other workers in other areas was so effective that some systems developers decided to move into full-time system engineering. Another advantage of the matrix structure is that it gives the organisation

a great deal of cost-saving flexibility: since each project is assigned only the number of people it needs, unnecessary duplication is avoided.

A disadvantage is that not everyone adapts well to a matrix system. To be effective, team members must have good interpersonal skills and be flexible and cooperative. In addition, morale can be adversely affected when personnel are rearranged once projects are completed and new ones begun. Finally, if hierarchies of authority are not firmly established and effectively communicated, there is the danger, according to some analysts, that conflicting directives and ill-defined responsibilities will plunge certain managers into a state of virtual chaos. To overcome these obstacles, special training in new job skills or interpersonal relationships may be necessary when a matrix overlay is first introduced or when a temporary overlay becomes permanent.

Formal and Informal Organisational Structure.

Organisation charts are useful for showing the formal organisational structure and who is responsible for certain tasks. In reality, though, the organisation chart cannot begin to capture the interpersonal relationship that make up the **informal organisational structure**. Herbert A Simon has described this as “the interpersonal relationships in the organisation that affect decisions within it but either are omitted from the formal scheme or not consistent with it.”

Example, during a busy period, one employee may turn to another for help rather than going through a manager. Or an employee in sales may establish a working relationship with an employee in production, who can provide information about product availability faster than the formal reporting system.

Anyone who has worked in an organisation knows the importance of secretaries and executive assistants, which never shows on an organisation chart. One of the first scholars to recognise the importance of informal structures was Chester Barnard. He noted that informal relationship help organisation members satisfy their social needs and get things done.

3.4. Power and Distribution of Authority

Management practitioners have defined the terms **Power**, **Authority**, and **Influence** in a variety of conflicting ways.

Power defined as the **ability to exert influence**. To have power is to be able to change the behaviour or attitudes of other individuals. In general, those who can exert influence over others in an organisation are called stakeholders,

Example; *environmental groups have the power to force companies to change products and their packaging to minimise harm to the environment.*

The Sources of Power

Power does not simply derive from an individual's level in the organisational hierarchy. John French and Bertram Raven have identified five sources or basis of power. Each may occur at all levels.

- (i) **Reward Power** is based on one person (**the influencer**) having the ability to reward another person (**the influencee**) for carrying out the orders or meeting the requirements.

Example, the power of supervisor to assign work tasks to subordinates.

The greater the attractiveness of a particular tasks in the eyes of the influencee, the greater the reward power of the influencer. However, rewards are best used to reinforce the desirable actions of subordinates and not as “Bribes” to carry out tasks.

- (ii) **Coercive power**, based on the influencer's ability to punish the influencee for not meeting requirements, is the negative side of reward power. Punishment may range from loss of a minor privilege to loss of a job. Coercive power is generally used to maintain a minimum standard of performance or conformity among subordinates.
- (iii) **Legitimate power**, which corresponds to the term *formal authority*, it exists when a subordinate or influencee acknowledges that the influencer has a “right” or is lawfully entitled to exert influence – within certain bounds. It is also implied that the influencee has an obligation to accept this power. A plant guard may have the “upward” authority to require even the company president to present an identification card before being allowed onto the premises.
- (iv) **Expert power** is based on the perception or belief that the influencer has some relevant expertise or special knowledge that the influencee does not. When we do what our doctors tell us, we are acknowledging their expert power. Expert power is usually applied to a specific, limited subject area. Although we may accept the advertising advice of our company's marketing specialists. We may discount their recommendations on how to lower production costs.
- (v) **Referent power**, which may be held by a person or a group, is based on the influencee's desire to identify with or imitate the influencer.

Example, popular, conscientious managers will have referent power if subordinates are motivated to emulate their work habits. Referent power also functions at the peer level – charismatic colleagues may sway us to their sides in department meetings. The strength of referent power is directly related to such factors as the amount of prestige and admiration the influencee confers upon the influencer.

These are *potential* sources of power only. They are the ways in which one person can influence another person. Possession of some or all of them does not guarantee the ability to influence particular individuals in specific ways.

Example, a manager may have subordinate's respect and admiration as an expert in his or her field, but still may be unable to influence them to be more creative on the job or even to

get to work on time. Thus, the role of the influencee in accepting or rejecting the attempted influence remains the key one.

Normally, each of the five power bases is potentially inherent in a manager's position. A specific degree of legitimate power always accompanies a manager's job and is especially important because it shapes the hierarchical relationships, within which the other forms of influence and power occur. Subordinates are assumed to accept a manager's formal authority and will generally obey him or her within reasonable limits. Managers usually have the power to reward subordinates with money, privileges or promotions and to punish them by withholding or removing these rewards. Also, managers are assumed to possess some degree of expertise, at least until they prove otherwise. Since referent power so obviously depends on an individual's style and personality, it is least likely to be expected part of a manager's position.

Formal Authority: is one type of power. It is based on the recognition of the legitimacy or lawfulness of the attempt to exert influence. Individuals or groups attempting to exert influence are perceived as having the right to do so within recognised boundaries, a right that arises from their formal position in an organisation.

The Basis of Formal Authority: Two Views

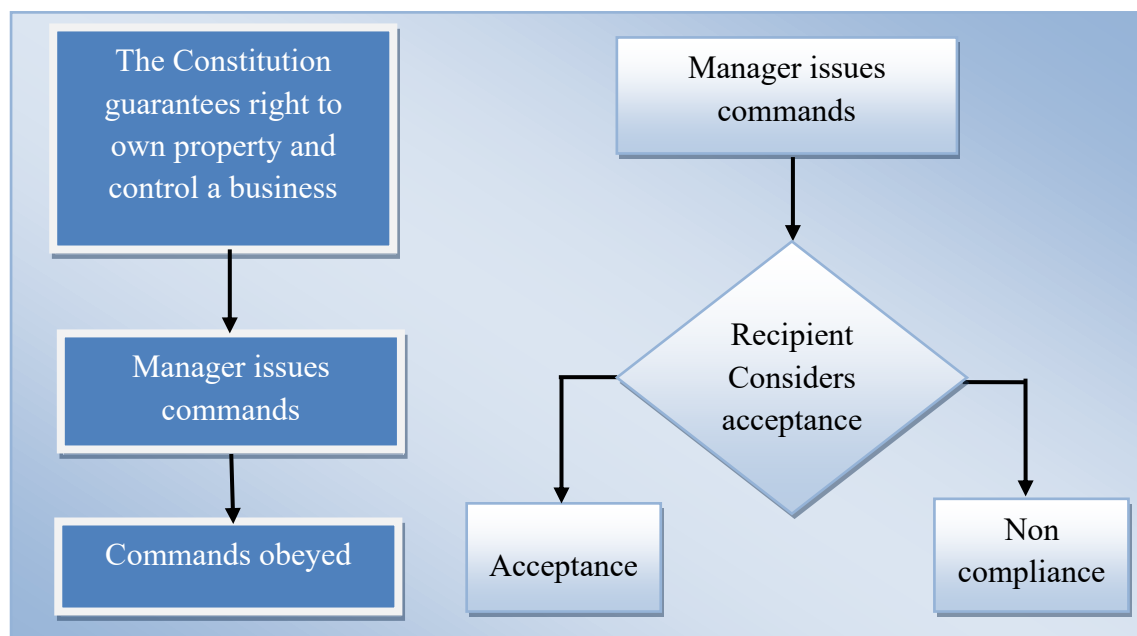
“What gives you the right to tell me what to do?” This familiar question bluntly suggests that before we comply with an instruction, we must be satisfied that the person issuing it has the right to do so. It is unlikely that we would ask this question of a superior in our organisation, since we assume that a superior does have the right to issue instructions to us.

But, why is this so?

Where do managers get the right to direct subordinate's activities?

There are two major views on formal authority in organisations:

- The classical view
- The acceptance view



The classical View

The *classical view* supposes that ***authority originates at some very high level of society and then is lawfully passed down from level to level.*** At the top of this high level may be GOD, the state (in the form of king, dictator or elected president) or the collective will of the people. According to classical view of formal authority in American organisations, management has a right to give lawful orders and subordinates have an obligation to obey. This obligation is, in effect, self-imposed. Members of our society, in agreeing to abide by the Constitution, accept the rights of others to own private property and therefore to own and control business. By entering and remaining in an organisation, subordinates in the United States accept the authority of owners or supervisors and therefore have duty to obey lawful directives.

The Acceptance View

The second perspective on the origin of formal authority, the *acceptance view*, finds **the basis of authority in the *influencee* rather than in the *Influencer*.** This view starts with the observation that not all legitimate laws or commands are obeyed in all circumstances. Some are accepted by the receiver of the orders and some are not. The key point is that the *receiver* decides whether or not to comply. Therefore, whether or not authority is present in any particular law or order, the authority is determined by the receiver, not the issuer of the order.

Example: *if a supervisor storms an assembly line shouting at everyone to work harder, the subordinates may not question the supervisor's right to do so but, through anger or indifference may choose not to comply with the order. The authority of the order will then be nullified.*

In fact, most formal authority is accepted by the members of the organisation. Barnard, a strong proponent of the acceptance view, has defined the conditions under which a person will comply with higher authority.

A person can and will accept a communication as authoritative only when four conditions simultaneously occur:

- (a) He can and does understand the communication;

- (b) At the time of his decision he believes that it is not inconsistent with the purpose of the organisation;
- (c) At the time of his decision he believes it to be compatible with his personal interests as a whole;
- (d) He is able, mentally and physically to comply with it.

In addition to these conditions, coordination in accepting authority is fostered by what Barnard calls the “**Zone of Indifference**” and Herbert A. Simon refers to, perhaps more descriptively, as the “**Area of acceptance**” Both expressions refer to the inclination of individuals to accept most orders given to them by their superiors, provided the orders fall within a “normal” range. Most of us will accept the need for periodic progress reports on our work and will rarely stop to consider whether or not to comply with a request for such reports from our superiors. An order that requires an illegal or unethical action, though, is an entirely different matter.

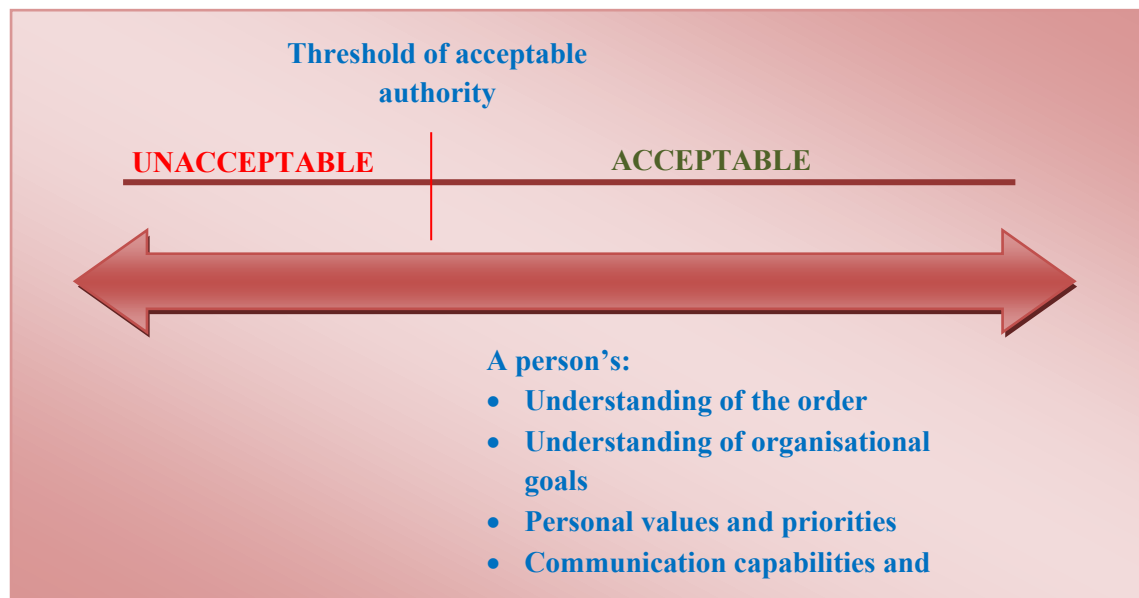
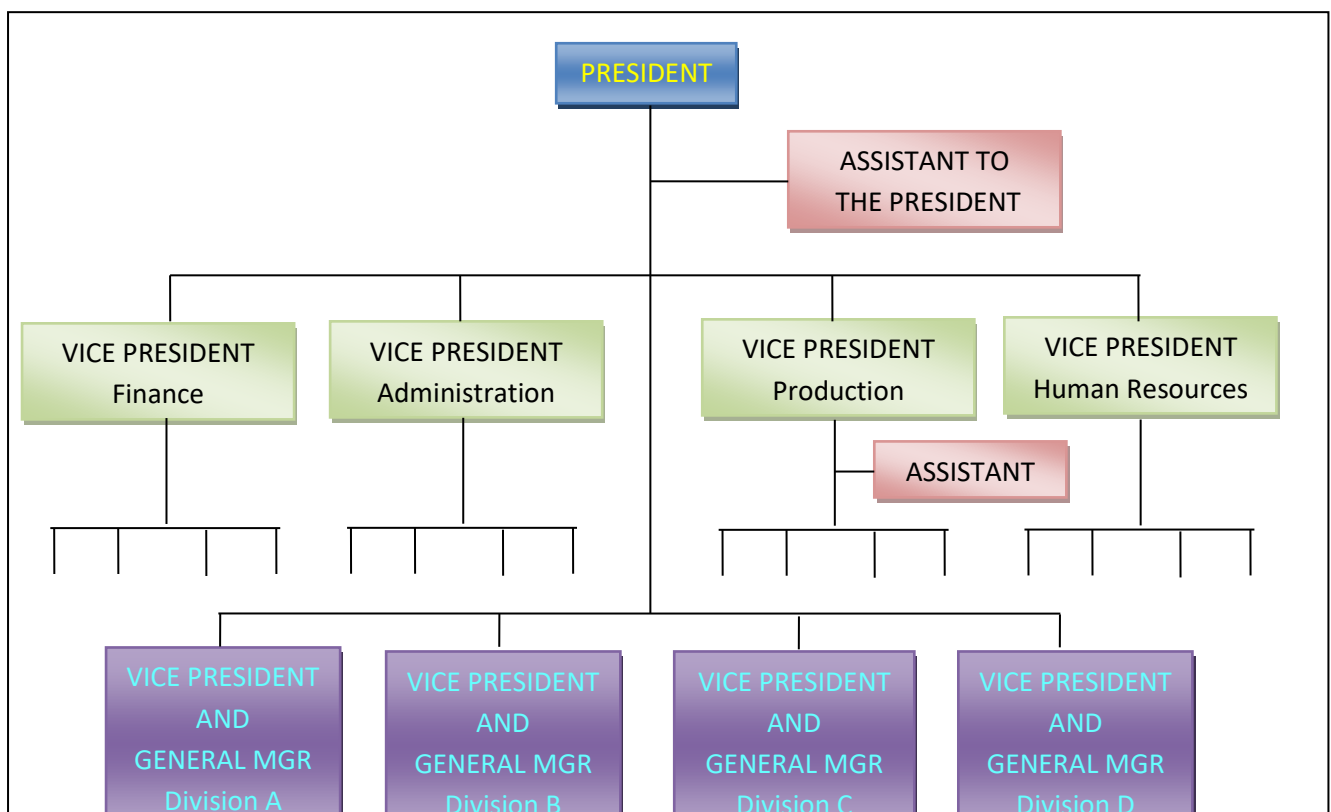


Figure 3.12: Range of Acceptable Authority



Line & Staff Authority: We are aware that formal authority is the legitimate power associated with an organisational position.

Line Authority:

Every organisation exists to achieve specific goals. Line managers may be defined as those people in the organisation who are directly responsible for achieving these goals. Line authority is represented by the standard chain of command, starting with the board of directors and extending down through the various levels in the hierarchy to the point where the basic activities of the organisation are carried out.

Since line activities are identical in terms of the company's goals, the activities classified as line will differ in each organisation.

***Example,** a manufacturing company may limit line functions to production and sales, while a department store, in which buying is a key element, will include the purchasing department as well as the sales department in its line activities.*

When an organisation is small, all positions may be line roles; staff roles are added as the organisation grows and finds it useful to hire specialists to assist the line members in doing their primary jobs.

Staff Authority: Belongs to those individuals or groups in an organisation who provide services and advice to line. The concept of staff includes all elements of the organisation that are not classified as line. Advisory staffs have been used by decision makers from employers and kings to parliamentary governments and dictatorships over the course of recorded history.

Staffs provide managers with varied types of expert help and advice. Staff can offer line managers planning advice through research, analysis and options development. Staff can also assist in policy implementation, monitoring and control, in legal and financial matters and in the design and operation of data-processing systems.

It is sometimes difficult to distinguish between line and staff: Line managers seem to be performing staff functions and staff members seem to have some line responsibilities. Staff personnel, devote most of their time to providing services and advice to line members, while line managers tend to focus directly on producing the organisation's products or services.

Functional Authority: The role of staff members to provide advice to line members implies that staff lacks independent, formal authority. In reality, staff departments, especially those responsible for audit functions, may have formal authority over line members within the limits of their functions. The right to control activities of other departments as they relate to specific staff responsibilities is known as **Functional authority**.

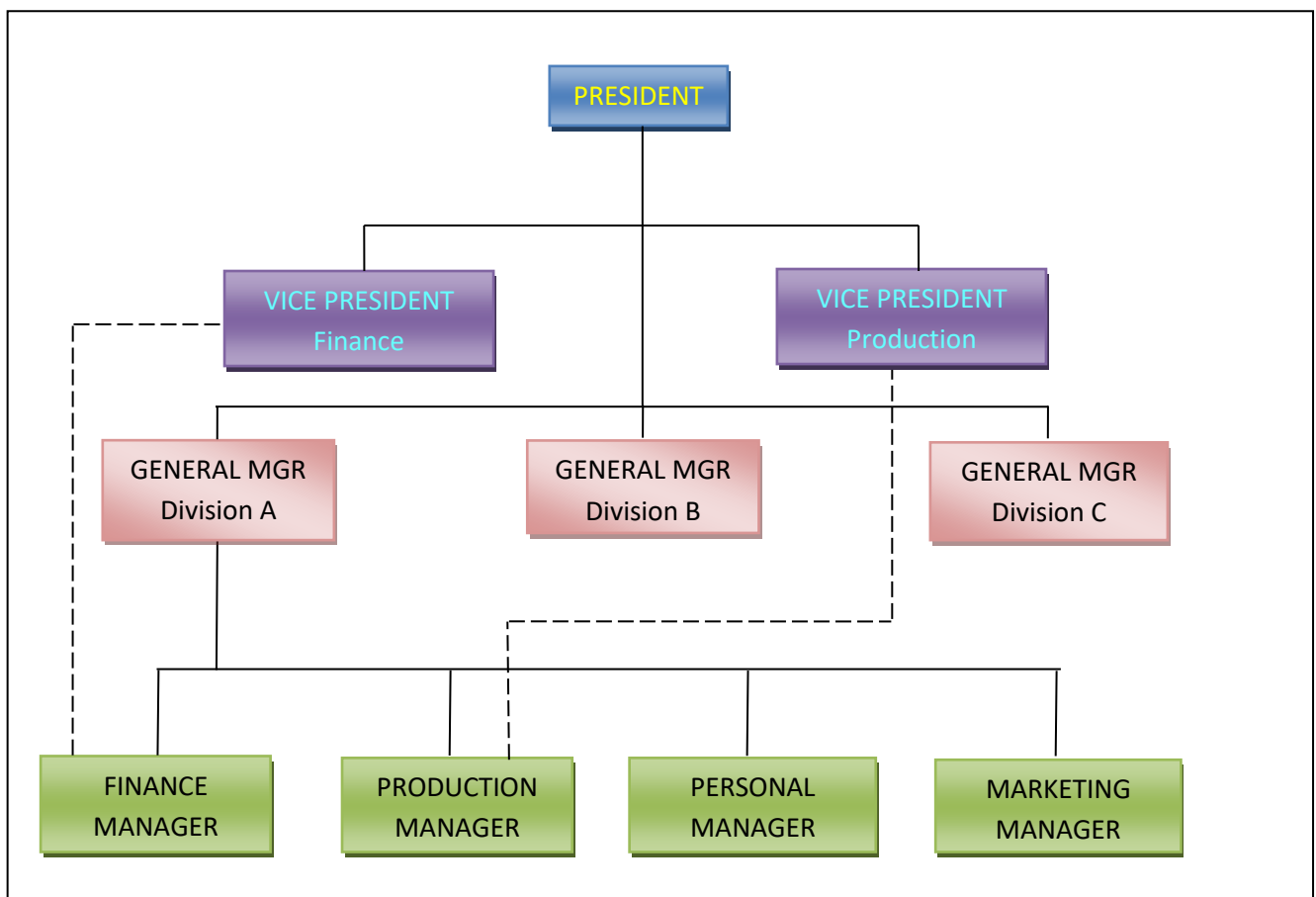


Figure 3.14: Functional Authority and “Dotted-line” Relationships

3.5. Delegation,

We can define **delegation** as the assignment to another person of formal authority and accountability for carrying out specific activities. The delegation of authority by superiors to subordinates is obviously necessary for the efficient functioning of any organisation, since no superior can personally accomplish or completely supervise all the organisation’s tasks.

By the definition we can delegate – *authority* and *accountability*; delegation of authority is the basis of the **scalar principle**, the idea that a clear line of authority runs step by step from highest to the lowest level of the organisation. This clear line of authority then,

is the basis for all delegation. On other hand responsibility cannot be delegated, managers can make subordinates responsible to them for certain actions. Responsibility is not like an object that can be passed from individual to individual.

***Example,** suppose a loan manager for a bank decided to delegate to his or her loan officers the responsibility for ensuring that all loans are processed within 10-day limit stated by bank policy. The loan manager can certainly make the loan officers accountable regarding the matter. At the same time, the loan manager is no less responsible to his or her boss – that is, he or she is responsible for seeing that the activity is carried out, for explaining why it is not and correcting ant problems that are caused by the actions of his or her subordinates.*

In short, one does not delegate responsibility, because responsibility always remains with delegating manager.

Advantages of Delegation:

- (i) Most obvious advantage is that the more tasks the managers are able to delegate, the more opportunity they have to seek and accept increased responsibilities from the higher level managers. Thus, managers will try to delegate not only routine matters but also tasks requiring thought and initiative, so that manager will be free to function with maximum effectiveness for the organisation.
- (ii) It frequently leads to better decision since subordinates closest to the “firing line” are likely to have a clearer view of the facts.(Indian Example, to be given)
- (iii) Effective delegation also speeds up decision making. Valuable time is lost when subordinates must check with their superiors before making a decision. This delay is eliminated when subordinates are authorised to make necessary decision on the spot. In addition, the delegation causes subordinates to accept accountability and exercise judgement. This is not only helps subordinates – an important advantage of delegation – but also improves their self confidence and willingness to take initiative.

Barriers to Delegation:

Despite these advantages, many managers are as reluctant to delegate authority as subordinates are to accept it. Managers often have a number of excuses for not delegating:

“I can do it better myself”;

“My subordinates just aren’t capable enough”;

“It takes too much time to explain what I want done”;

The real reason may be the manager is simply too discouraged or inflexible to delegate work effectively.

Other barriers to delegation are insecurity and confusion about who is ultimately responsible for a specific task – the manager or the subordinate. Managers cannot side step their responsibility to higher-ups simply by delegating difficult or unpleasant tasks to subordinates. They are always accountable for the action of their subordinates – a fact

that makes some of them reluctant to take a chance on delegating authority. Others fear that delegating authority to a subordinate reduces their own authority. Still others feel threatened if their subordinate does “too good” a job. Some subordinates, on the other hand, want to avoid responsibility and risks; they prefer that their managers to make all the decisions. These barriers can be overcome if we follow certain guidelines for effective delegation.

Guidelines for effective Delegation

Delegation was an important subject to early management writers, who created the classical guidelines. Although many of these guidelines are still valid, they are based on the classical top-to-bottom view of authority in organisations and therefore do not recognise that it is a subordinate’s acceptance of authority that largely determines the manager’s effectiveness. Another limitation of the classical guidelines arises from the complexity of modern organisational structures. For instance, the matrix structure in which employees report to two managers violates the **Unity of Command Principle** – the idea that each employee should answer to only one supervisor.

For these reasons, the classical guidelines have been modified slightly. The most basic prerequisite to effective delegation remains the manager’s willingness to give subordinates real freedom to accomplish delegated tasks. This means letting them choose different methods and solutions than the ones the manager would have chosen. It also means giving them the freedom to make mistakes and to learn from their mistakes. Subordinate mistakes are not excuse to stop delegating, but rather an opportunity to offer training and support.

A second prerequisite for delegation is open communication between managers and subordinates. Managers who know the capabilities of their subordinates can more realistically decide which tasks can be delegated to whom. Subordinates who are encouraged to use their abilities and who feel their managers will back them up will, in turn be more likely to accept responsibility.

The third prerequisite for delegation is the manager’s ability to analyse such factors as the organisation’s culture, the task’s requirements and the subordinates’ capabilities. These prerequisites are all important to carrying out the following tasks of effective delegation:

- i. Decide which tasks can be delegated. Many items can and should be delegated, some of these are minor decisions, recurring chores, etc, and however, unusually demanding and challenging assignments may often be delegated to your subordinates and will do much to develop them.
- ii. Decide who should get the assignment. Who has available time? Does the job require special competence? Ask yourself these questions when deciding which of your people should get the assignment.
- iii. Delegate the assignment. Provide all relevant information on the task. As far as possible, delegate by results expected, not by methods to be used. Cultivate a

- climate of free and open communication between yourself and the person to whom you have delegated the task.
- iv. Establish a feedback system. Provide for a system of checkpoints and / or feedback information so that you will remain advised of progress. Select your feedback system carefully, however, bearing in mind that the tighter your controls, the less the delegation that is actually taking place.

Classical Guidelines for Effective Delegation

1. *Establish a clear line of authority running from the highest to the lowest level of authority.*
This rule, known as the scalar chain principle, helps organisation members understand to whom they can delegate, who can delegate to them and to whom they are accountable.
2. *To avoid confusion,*
Each person should be accountable to just one superior. This is known as the unity of command principle.
3. *Assign accountability for specific tasks to the lowest organisational level at which sufficient ability and information exists to carry them out completely.*
Checking time cards would be delegated to lower level supervisors rather than to division heads.
4. *Give subordinates sufficient authority to carry out delegated tasks.*
A sales manager who is expected to meet a certain quota would be handicapped without the authority to assign territories, reward effective salespeople and fire incompetents.
5. *Be sure subordinates realise they are responsible for specific results.*
This does not mean the managers are no longer responsible for delegated tasks; it merely means that managers must communicate tasks and goals clearly to subordinates and influence them to accept the authority and responsibility for those tasks.

3.6. Decentralisation and Centralisation

The delegation of authority by individual managers and the design of jobs in organisations are closely related to an organisation's decentralisation of authority. Delegation is the process of assigning authority or accountability from one level of management down to the next. The concept of decentralisation and centralisation refer to the extent to which authority and accountability have been passed down to lower levels (**Decentralisation**) or have been retained at the top of the organisation (**Centralisation**). This terminology derives from a perspective of the organisation as a series of concentric circles. The chief executive of the organisation is situated in the very center and a "web" of authority radiates out from him or her. The greater the amount of authority delegated throughout the organisation, the more decentralised the organisation is.

Example, the freer lower level managers are to spend significant sums on equipment or supplies without first checking with higher level managers, the more decentralised the organisation is.

There is considerable confusion between the terms **Decentralisation** and **Devisionalisation**. Part of this confusion stems from the tendency to refer to divisionalised firms as decentralised and to functionally structured firms as centralisation that moves from a centralised functional structure to a decentralised divisional structure. Furthermore, many of the advantages of divisionalisation also apply to decentralisation. The two are not same. Any divisionalised organisation may be relatively centralised or decentralised in its operations.

The advantages of decentralisation are similar to the advantages of delegation:

- ❖ Unburdening of top managers;
- ❖ Improved decision making because decisions are made closer to the scene of action;
- ❖ Better training, morale and initiative at lower levels;
- ❖ More flexibility and faster decision making in rapidly changing environments;

These advantages are so compelling that it is tempting to think of decentralisation as “good” and “Centralisation as “bad”.

But ***total decentralisation, with no coordination and leadership from the top, would clearly be undesirable.*** The very purpose of organisation – efficient integration of sub units for the good of the whole – would be defeated without some centralised control. For this reason, the managers should question that to ***what extent*** an organisation should be decentralised.

As we can observe, the appropriate amount of decentralisation will vary with time and circumstances. It will also vary for the different subunits of the organisation.

Example, Production and sales departments have gained a high degree of decentralisation in many companies; where as financial departments have tended to remain comparatively centralised.

Challenges of Decentralization:

The shift towards decentralisation does not come without challenges. More individual authority at the store level requires more thorough manager training.

Example, At Fred Meyer Inc., employees receive classroom-style training from company executives, company training staff and college professors at the at the Fred Meyer Institute in order to improve their decision making abilities.

Decentralisation usually entails bringing an additional staff. Fred Meyer Inc. managers decided to replace their centralised Honeywell mainframe management information system with one that uses individual IBM computers at every store. This change required the hiring of a professional staff to put the new system into place and design the software required to run it.

During the late 1980s, Eastman Kodak reorganised itself and developed a framework for thinking about human resource planning which was dubbed “HR Planning in ‘3D’.” The three dimensions were diversity, dynamism, and decentralisation. Decentralisation was

particularly important in that it enabled decision making to take place at appropriate levels in the organisation.

Factors Influencing Decentralisation:

Decentralisation has value only to the extent that it helps an organisation achieve its objectives. In determining the amount of decentralisation appropriate for an organisation, the following factors are usually considered.

- (i) Environmental influences, such as market characteristics, competitive pressures and availability of materials.
- (ii) The organisation's size and growth rate
- (iii) Other characteristics of the organisation, such as costliness of given decisions, top management preferences, the organisation's culture and abilities of lower level managers.

The first two factors help to determine the logical degree of decentralisation – they suggest what top managers *should* do.

The last factor suggests what managers are *likely* to do.

Example, a particular supermarket chain might be better off if each store manager had some discretion in adapting purchasing and pricing policies to local conditions, but an autocratic top management is unwilling to delegate this authority. Either top management will have to change their attitude or they will have to accept losses in some areas at the hands of competitors.

- (1) Strategy and the Organisation's Environment:** An organisation's strategy will influence the types of markets, technological environment and competition with which the organisation must contend. These factors will, in turn, influence the degree of decentralisation that the firm finds appropriate. Alfred Chandler found that firms, such as Westinghouse and General Electric, that developed new products through a strategy of research and development that led to product diversification, chose a decentralised structure. Other companies, operating in industries in which markets were more predictable, production processes less dynamic technologically, and competitive relationships more stable, tended to remain or become more centralised.

Example, United States Steels became more centralised rather than less, in the first half of this century.

- (2) Size and Rate of Growth:** It is virtually impossible to run a large organisation efficiently while vesting all decision making authority in a few top managers. Size is almost certainly the strongest single force for delegation and hence for decentralisation.

As an organisation continues to grow in size and complexity, decentralisation tends to increase. The faster the rate of growth, the more likely it is that top-management

bearing the weight of an ever increasing work load will be forced to accelerate the delegation of authority to lower levels. When the growth rate slows, upper management may attempt to regain decision making authority under the guise of “tightening things up” and protecting profits.

(3) Other characteristics of the Organisation: The extent to which decision making authority is centralised is also likely to be influenced by such internal characteristics of the company as

- (i) *The cost and risk associated with the decision.*** Manager may be wary of delegating authority for decisions that could have a heavy impact on the performance of their own subunits or of the organisation as a whole. This caution is out of consideration for both the company’s welfare and their own, since the delegator retains responsibility for the results.
- (ii) *An individual manager’s performance and confidence in subordinates.*** Some managers pride themselves on their detailed knowledge of everything that happens within their area of responsibility. (“The good manager runs a tight ship” approach). Others take equal pride in confidently delegating everything possible to their subordinates in order to avoid getting bogged down in petty details and to save their own expertise for the unit’s major objectives.
- (iii) *The organisational culture.*** The shared norms, values, and understandings (culture) of members of some organisations support tight control at the top. The culture of other organisations supports the opposite. The history of organisation helps to create its culture. A firm that has had slow growth under a strong-willed leader may have a much centralised structure. In contrast, a firm that has grown rapidly through acquisitions will have learned to live with the greater independence of the acquired companies.
- (iv) *The abilities of lower level managers.*** This dimension is in part, circular. If the authority is not delegated because managers lack faith in the talent below, the talent will not have much opportunity to develop. In addition, the lack of internal training will make it more difficult to find and hold talented and ambitious people and this in turn will make it more difficult to decentralise.

Trends in Decentralisation:

The period from the end of world war – II to the early 1970’s was a time of great economic growth in the United States. On balance, decentralisation probably increased during this period. From 1970’s to the mid 1980’s low rates of economic growth, pressure from foreign competition and eventually the competitive disadvantages arising from the strength the US dollar encouraged the centralisation; many companies sought ways to increase productivity by eliminating costly duplication of functions.

The clear trend today is toward more decentralisation. Many companies have “restructured,” which often means simply eliminating staff jobs and pushing decision making authority farther down the organisation.

Example, GE, AT & T, and Eastman Kodak, have eliminated thousands of corporate staff jobs in an effort to decentralise. At the same time, advances in information technology have made centralised control systems much more sophisticated. At The Limited and other retailers, every sale feeds into an inventory system so that stores can be restocked automatically according to their own needs. Information systems allow some process to be centrally controlled, while decentralising decision making to the managers closest to the customer.